The United States tried to support the French economically and militarily and President Eisenhower elaborated his apprehensions regarding the situation in Vietnam in his famous **Domino theory**. He said, “You have a row of dominoes set, you knock over the first one, and what will happen to the last one is the certainty that it will go over very quickly. So you have a beginning of a disintegration that would have the most profound influences”.[8] This Domino theory or, in other words, “knocking over” one South-east Asian State after another, led the United States into the Indo-China War, known as the **Vietnam War** in the United States and the greatest debacle faced by the United States in this war is known worldwide.

Finally, in the Indo-China Conference convened in Geneva in 1954, Vietnam was divided along the 17 parallel and there was also the recognition of Laotian and Cambodian independence.

Another flash point of Cold War rivalry was the Peoples Republic of China and its tensed relation with the island of Formosa, better known as Taiwan, which was taken over by the Nationalists under Chiang Kai-shek with active support of USA. But in 1954, Beijing declared that it is going to liberate Taiwan. Despite US warning, that any action against Taiwan would prompt a determined response on the part of the US, the People’s Liberation Army commenced shelling of Quemoy and the proximate Tachen islands. The US Congress passed the Formosa Resolution under which it pledged to defend Formosa. After much nerve-wracking situations the Chinese expressed their willingness for negotiation and accommodation with the Nationalists. The First Taiwan Crisis came to an end, only to begin soon after, with the re-equipping at a massive scale by the US of the Nationalist army of Taiwan, raising suspicion in the Chinese mind about a mounting threat. Followed by this was Khrushchev’s visit to Beijing to assure the Chinese communists of the reliability of Soviet nuclear deterrent in the face of an American nuclear attack. This visit caused much unease and antagonisms in the United States. Coupled with this was the increasing hostile relations between Mao and Chiang Kai-shek which ultimately led to shelling of Quemoy and Matsu, by the Chinese communist troops in August 1958. Ultimately, Eisenhower dispatched the Seventh Fleet in the Taiwan Strait and reinforced US troops, stationed in Taiwan, and